Understandably, there was greater interaction among central bank governors during the crisis than during normal times. Recall that in my intervention in the G20 meeting in October 2008, I had urged the advanced economies to keep the emerging-market central banks in the loop on financial market developments as they view them as also on their proposed policy responses. Either because of that, or more likely quite apart from that, there was regular briefing to some of us in the emerging markets—China, India, Brazil, Argentina, Mexico, Turkey, South Africa—by the US Treasury, the Federal Reserve and the European Central Bank (ECB). These would typically happen on a conference call but on occasion also be one-on-one.

Even more useful in this anxious period—when fear mounted, prices plunged and markets froze—were the Bank for International Settlements (BIS) bimonthly meetings of governors in Basel, which provided a forum for both structured and informal exchange of views among the governors. Given the centrality of America to the origin of the crisis and to its resolution, the highlight of these meetings invariably was the briefing by Bernanke, the Fed chairman. But there would also be a lot of interest in what Zhou Xiaochuan, the governor of the People's Bank of China, had to say—a sign not just of China's growing clout in the global economy, but also of how important China's prospects were to leading the world out of the Great Recession. There used to be active interest on the situation in India too, in part because we are a large economy and how India fared mattered to the world economy; moreover, some of the macroeconomic developments in India were contrarian to the global trends.

## Unconventional Monetary Policy

Advanced economy central banks were stretched in terms of policy response to the crisis. The standard and conventional instrument available to central banks is the policy interest rate. Once they have brought that down to zero and find that the markets are still choked, what else can they do? They wade into unconventional policy, which is what they did by